

AML/CFT Exam Prep

Complete Guide – All Hard Questions

Tricky Questions + Hard PDF

- 1 AFC Regs (Q5-10 + China)
- 2 DNFBPs (PEP, Legal, TBML, Embassies, FTZ, NFT, MSB)
- 3 Nonbank Financial (Blockchain, PSP, Crypto)
- 4 Guidance (FIU Policy, Impacts)
- 5 Hard FATF/EU/US (38 slides)

[WHY HARD]

Students confuse DORA with GDPR. KEY ⇒ threat-led, not compliance-driven.

[HARD]

Requires THREAT-LED PENETRATION TESTING (TLPT) – NOT standard vuln scans.

What: EU reg Jan 2025 — Applies FIs + ICT — Purpose: withstand, recover from ICT disruptions
Why Advanced Testing:

Traditional	DORA Advanced
Checks compliance with known standards	Simulates real cyber attacks
Passive checking	Active threat-led testing
"Do we have antivirus?"	"Will the system survive?"

Tests: Basic (vuln scans) → Advanced (pen testing) → **TLPT (mandatory 3yrs)**

[SCENARIO]

Bank passes compliance but fails ransomware.

[TRAP]

Not "Because regulators require it." Purpose ⇒ detect vulnerabilities BEFORE incidents.

[CORRECT]

[WHY HARD]

HARD: students assume laws similar. KEY = facilitation payments – UK prohibits, US allows. UK wider extra-territorial.

[HARD]

FACILITATION: UK **PROHIBITS**; FCPA allows small "grease" payments. MOST TESTED distinction.

UK Bribery Act 2010	US FCPA
Prohibits facilitation	Allows facilitation
No exception local law	Exception if required by local law
Covers both giving AND receiving	Primarily covers giving (payer)
Wide extra-territorial	Extra-territorial but narrower
"Failure to prevent" – strict liability	Requires "corrupt intent"
Unlimited fines, 10 yrs imprisonment	Up to \$25M, 5 yrs

[TRAP]

"UK only UK-based" – WRONG. Applies ANY with close connection to UK.

[CORRECT]

UK Bribery Act 2010 prohibits facilitation payments made to officials.

[WHY HARD]

HARD: students think "monitor" enough. Sanctions screening = IMMEDIATE action. Previous risk rating IRRELEVANT.

[HARD]

Sanctions match = LEGAL OBLIGATION to freeze. Previous risk rating IRRELEVANT. Must act immediately.

Scenario: Low risk customer now flagged in sanctions + adverse media.

Required:

Step 1	Immediate Freeze if sanctions match
Step 2	Escalate to MLRO immediately
Step 3	EDD – Enhanced Due Diligence
Step 4	Risk Reassessment – NO LONGER low
Step 5	SAR Consideration

Why Both: Sanctions + adverse media = **COMPOUND RISK**

[TRAP]

Not "monitor" – sanctions match requires IMMEDIATE ACTION.

[WHY HARD]

HARD: students think "technology" problem. Actually REGULATORY fragmentation, legal gaps, lack of cooperation.

[HARD]

Three problems: 1) Fragmented supervision, 2) Lack cooperation, 3) Gaps transposition. NOT technology.

Three Problems:

- 1) **Fragmented Supervision:** Multiple regulators, overlapping reqs, no single oversight
- 2) **Lack Co-operation:** Slow info sharing, different privacy regimes
- 3) **Gaps Transposition:** EU Directives implemented differently, regulatory arbitrage

[SCENARIO]

Criminal moves money Germany → Malta → UK. Different frameworks.

[TRAP]

NOT "technology" – regulatory, legal, co-operation gaps.

[CORRECT]

Fragmented supervision, lack cooperation, gaps transposition.

[WHY HARD]

HARD: students remember CASPs but forget SOCCER AGENTS. Exam tests BOTH covered.

[HARD]

6AMLD added SOCCER AGENTS and CASPs. NOT just CASPs! Common trap.

6AMLD: Expanded predicate offenses — Aiding/abetting liability — Min 4 yrs imprisonment

AMLR – New Entities:

Traditional	Newly Included
Lawyers	Cryptoasset Service Providers
Notaries	Soccer Agents
Accountants	Virtual Currency Exchanges
Real Estate	Custodial Wallet Providers

Why Soccer Agents? High-value intl transfers, large fees (10-30%), recent ML cases.

CASPs: CDD, Travel Rule, Registration, Monitoring, EDD

[TRAP]

Includes BOTH CASPs AND Soccer Agents – not just one!

[CORRECT]

Cryptoasset service providers AND Soccer agents.

[WHY HARD]

HARD: China AML not widely covered. Features: EXTRA-TERRITORIALITY and RESTRICTING EXCESSIVE RISK. NO crypto exemption.

[HARD]

China AML: NO crypto exemption. HAS extra-territoriality and restrictions on excessive risk.

Key Features:

- ④ **Extraterritoriality:** Applies to activities outside China affecting Chinese markets
- ④ **Restricting Excessive Risk:** Regulators limit risk-taking, restrict certain products
- ④ **NO Crypto Exemption:** Crypto banned/trading restricted, treated as high-risk

[TRAP]

China does NOT exempt crypto – banned. Correct features: extra-territoriality AND restricting excessive risk.

[CORRECT]

Provisions restricting excessive risk AND Extraterritoriality application.

[WHY HARD]

HARD: students think "inadequate monitoring." Specific weakness = FAILURE TO RECOGNIZE HIGH-RISK TYPOLOGIES within client sectors.

[HARD]

Specific: FAILURE TO RECOGNIZE HIGH-RISK TYPOLOGIES within client sectors. Not just "inadequate monitoring."

Scenario: UK FI fined for inadequate TM tied to TBML.

Weakness:

- Failure to recognize high-risk typologies within client sectors
- Knew TBML existed but didn't identify specific TBML patterns
- Not just "inadequate monitoring" – about **understanding risks**

Should Have: Sector-specific TBML typologies, red flags (under/over-invoicing), staff training, calibrated thresholds.

[TRAP]

Not "inadequate monitoring" generally – failure to recognize HIGH-RISK TYPOLOGIES.

[CORRECT]

Failure to recognize high-risk typologies within client sectors.

[WHY HARD]

HARD: students think "low fees" or "easy accounts." Correct = ACCESSIBILITY: multilingual + offline.

[HARD]

Inclusive = ACCESSIBILITY. Multilingual support + offline functionality. NOT "lower fees" or "easier accounts."

What Supports Inclusive Banking:

- ➊ **Multilingual Customer Support:** Removes language barriers, serves diverse communities, helps immigrants
- ➋ **Mobile Apps with Offline:** Serves areas with poor internet, rural/remote areas, basic offline functionality

Not Inclusive: High fees (excludes low-income), complex onboarding (excludes less educated), English-only, online-only.

[TRAP]

Inclusive = ACCESSIBILITY – multilingual and offline.

[CORRECT]

Multilingual customer support AND mobile apps with offline functionality.

[WHY HARD]

HARD: students think "expensive purchase." PEP + indirect = GREATEST concern because hides true ownership.

[HARD]

PEP + indirect = GREATEST concern. Standard CDD won't reveal PEP behind offshore structures.

Scenario: PEP using indirect ownership intermediaries.

Why GREATEST:

- ❶ **Obfuscation:** PEPs high-risk; intermediaries hide true ownership
- ❷ **Increased Risk:** PEP + offshore = high ML/TF
- ❸ **CDD Breakdown:** Standard CDD won't reveal PEP
- ❹ **Regulatory:** Violates FATF Rec. 12
- ❺ **Reputational:** Media exposure devastating

PEP Levels: Domestic (lower but EDD), Foreign (higher), International (highest)

Required: EDD, identify UBO, senior management approval, enhanced monitoring, SAR if suspicious.

[TRAP]

Not "buying expensive" – PEP using indirect ownership to hide.

[CORRECT]

PEP using indirect ownership intermediaries.

[WHY HARD]

HARD: students think "confidentiality" protects lawyers. Shielding PEP info INCREASES risk. Training + escrow restrictions are effective.

[HARD]

Confidentiality to shield PEP = INCREASES risk. Training + escrow restrictions are effective.

Two Effective:

- **Strong Training:** Typologies, suspicious indicators, update annually, case studies, assessments
- **Restrict Escrow:** Only if risk assessed; high-risk requires EDD; monitor unusual instructions

NOT Effective: "Confidentiality to shield PEP" – INCREASES risk

Why Escrow High Risk: Lawyers hold client funds, large amounts, vague instructions, criminal funds.

[TRAP]

Confidentiality does NOT replace CDD – hiding PEP INCREASES risk.

[CORRECT]

Strong training AND restricting escrow unless risk-assessed.

[WHY HARD]

HARD: students confuse misclassification with over/under-invoicing. This scenario = OVER/UNDER-INVOCING – separate wires give it away.

[HARD]

Over/under-invoicing = separate wires cover difference. Misclassification = wrong goods description. DIFFERENT tactics.

Scenario: Exporter ships **below** market; counterpart pays remainder via separate wire to third party. → **TBML**
TBML:

Under-Invoicing	Over-Invoicing
Invoice less than actual	Invoice more than actual
Goods \$100k invoice \$70k	Goods \$100k invoice \$150k
Difference separate channels	Difference separate account
Moves value out	Moves value into

Red Flags: Below market, wire transfers to third parties, repeated, inconsistent pricing.

[TRAP]

NOT "misclassification" – specifically over/under-invoicing.

[CORRECT]

Over/under-invoicing to obscure monetary transfers.

[WHY HARD]

HARD: students forget ALL THREE actions. Must: 1) Volume, 2) Private use, 3) Sanctions. Embassies high-risk due diplomatic immunity.

[HARD]

ALL THREE: volume monitoring, private use review, AND sanctions clarification.

Three Required:

- 1 **Monitor Volume:** Compare actual to stated purpose; predictable patterns; \$50k stated but \$500k actual
- 2 **Review Third-Party:** Official use ONLY; watch private individuals/businesses/diplomats' accounts
- 3 **Clarify Sanctions:** Funds shouldn't go to sanctioned countries; consider STR if inadequate

Why Higher Risk: Diplomatic immunity limits enforcement; large funds; sanctions evasion.

[TRAP]

ALL THREE actions – volume, private use, AND sanctions screening!

[CORRECT]

Monitor volume; Review private use; Clarify sanctions.

[WHY HARD]

HARD: confuse with over/under-invoicing. FTZ misclassification = WRONG GOODS DESCRIPTION – pharma in, shoes out.

[HARD]

FTZ misclassification = goods described as one thing, are another. Different from over/under-invoicing.

Scenario: FTZ firm: **Incoming**=Pharma, **Outgoing**=Shoes. Same firm.

What: Trade-Based Misclassification – moving value, not goods.

Why FTZs High Risk:

- 1 Limited customs oversight
- 2 Goods move without full inspection
- 3 Tariffs reduced/eliminated
- 4 Attracts exploitation

Abuse: Misclassification, Misvaluation, Diversion, Transshipment fraud.

[TRAP]

Specifically misclassification – not over/under-invoicing, not smuggling.

[CORRECT]

Trade-based misclassification masking value movement.

[WHY HARD]

HARD: students think "wash trading." Correct = LAYERING – buy/resell at inflated prices to obscure origin.

[HARD]

NFT layering: buy with stablecoin, resell at inflated prices. NOT wash trading (same person). KEY distinction.

Scenario: User repeatedly buys NFTs with stablecoin, resells at inflated/inconsistent prices.

What: Using NFTs to layer illicit funds.

Layering vs Wash Trading:

NFT Layering	Wash Trading
Moving illicit funds through sales	Same person buying/selling for false volume
Different buyers/sellers	Same wallet or related wallets
Purpose: obscure fund origin	Purpose: manipulate price/market
Inconsistent prices = red flag	Consistent pattern = wash trading

Red Flags: Repeated pattern, inflated/inconsistent prices, stablecoin funding, no commercial reason.

[TRAP]

Not wash trading – using NFTs TO LAYER illicit funds.

[CORRECT]

Using NFTs to layer illicit funds.

[WHY HARD]

HARD: students think "agents just partners." MSB agents affect OPERATIONAL AND GEOGRAPHIC risk.

[HARD]

MSB agents affect BOTH operational AND geographic risk. Critical for risk assessment.

Scenario: Onboarding MSB includes question about third-party agents.

Why Critical:

- **Operational Risk:** Agents deal with customers, weak AML controls, not trained, their own third-party relationships
- **Geographic Risk:** Agents in high-risk countries, Grey/Black Lists, different regulations, cross-border flows

Assess: Agent locations, AML controls, oversight, inspections, transaction volume.

[TRAP]

Agents affect BOTH operational AND geographic – not just one.

[CORRECT]

Agent network could influence both operational and geographic risk exposure.

[WHY HARD]

HARD: students choose "real-time performance metrics" (internal process). Correct: Coverage, Entity Resolution, Broad Alerting.

[HARD]

Blockchain: 1) Coverage all blockchains, 2) Entity resolution, 3) Broad alerting. NOT "performance metrics."

Three Critical:

- 1 **Coverage All Major Blockchains:** BTC, ETH, USDT, USDC, BNB, XRP. Missing = blind spot
- 2 **Entity Resolution:** Link addresses to real-world; exchange data, OSINT, sanctions
- 3 **Broad Alerting:** Not just sanctions; suspicious patterns (layering, splitting, volume)

NOT Effective: "Real-time monitoring of internal performance metrics" – HOW you monitor, not what analytics DO.

[TRAP]

Don't choose "internal performance metrics" – it's HOW you monitor.

[CORRECT]

Coverage all blockchains; Entity resolution; Broad alerting.

[WHY HARD]

HARD: confuse with "terrorism" or "sanctions." PSPs: 1) Limited oversight jurisdictions, 2) Fraudulent transactions.

[HARD]

PSPs: 1) Limited oversight jurisdictions, 2) Fraudulent transactions. NOT "terrorism" or "sanctions" as primary.

Two Most Relevant:

- **Limited Regulatory Oversight:** Weak AML, FATF Grey/Black Lists, multiple jurisdictions
- **Facilitating Fraudulent Transactions:** Fraudulent merchants, ML and fraud overlap

Additional: High volume low value, fast processing, cross-border, third-party agents.

PSP Red Flags: High-risk country business, unusual volume, small transactions just below thresholds.

[TRAP]

Not "terrorism" or "sanctions" – these are MOST RELEVANT for PSPs.

[CORRECT]

Limited oversight jurisdictions AND facilitating fraudulent transactions.

[WHY HARD]

HARD: students think "increase thresholds." Must INVESTIGATE FIRST – review logic, calibrate, investigate root cause.

[HARD]

Must INVESTIGATE first. Review logic, calibrate, investigate root cause. NOT "increase thresholds" without analysis.

Scenario: Growing TM alerts for new crypto product.

DO:

- 1 **Review logic** – thresholds appropriate?
- 2 **Calibrate thresholds** – product-specific
- 3 **Investigate root cause** – attracting high-risk?
- 4 **Update EWRA** – new risk profile

DO NOT: Dismiss as "noise"; Increase thresholds without analysis; Ignore trend.

Why: New products have unexpected risks; early action prevents problems; proactive compliance.

[TRAP]

NOT "increase thresholds" – must investigate first.

[WHY HARD]

HARD: students think "immediately suspend." Must ASSESS FIRST, then ACT. Immediate suspension = overreaction.

[HARD]

ASSESS FIRST, then ACT. Immediate suspension = overreaction.

Scenario: FIU paper says real estate product associated with fraud.

Correct Sequence:

- 1 **First: Understand Risk** – do you offer this product?
- 2 **Second: Update Risk Assessment** – incorporate new info
- 3 **Third: Consider Controls** – based on your specific risk
- 4 **Fourth: Implement Controls** – after assessment, proportional

Why NOT Suspend: Overreaction if low risk; loss of business; not risk-based.

[TRAP]

ASSESS FIRST, then ACT. Immediate suspension = overreaction.

[CORRECT]

Assess internal risk exposure and update EWRA accordingly.

[WHY HARD]

HARD: students think "loss of audit rights." Regulators ALWAYS retain audit rights. Three impacts: customer experience, control redundancy, resources.

[HARD]

"Loss of audit rights" NOT an impact – regulators ALWAYS retain audit rights.

Three Impacts:

- 1 **Customer Experience:** More docs, longer onboarding, frequent reviews, frustration
- 2 **Control Redundancy:** Multiple duplicate controls, overlapping reporting
- 3 **Resource Impacts:** IT changes, training, more staff, higher costs

NOT an Impact: "Loss of audit rights" – regulators ALWAYS retain audit rights.

[TRAP]

"Loss of audit rights" NOT an impact – regulators always have audit rights.

[CORRECT]

Customer experience; Control redundancy; Resource impacts.

[WHY HARD]

HARD: students think "just check sanctions." Must SUSPEND AND screen BOTH export controls AND sanctions.

[HARD]

Dual-use + sanctions ⇒ MUST suspend AND screen BOTH export controls AND sanctions. Not just one.

Scenario: Shipper delivering radar components to foreign defense ministry. Dual-use, destination under partial EU sanctions.

Required:

- **Suspend Delivery:** Cannot proceed until compliance confirmed
- **Export Control Screening:** Dual-use requires export licenses; check EU Dual-Use Regulation
- **Sanctions Screening:** All applicable (EU, UN, US); verify destination/end-user

Red Flags: Dual-use, defense ministry, partial sanctions, multiple jurisdictions.

[TRAP]

Not just "check sanctions" – MUST suspend AND do both.

[CORRECT]

Suspend delivery and initiate export control and sanctions screening.

[WHY HARD]

HARD: students think “ask questions.” MUST file SAR AND delay. Third-party payment unrelated = STRONG red flag.

[HARD]

Third-party payment unrelated = MUST file SAR AND delay. Cannot just ask questions.

Scenario: Canadian law firm real estate closing. Client insists proceeds paid to foreign third party unrelated.

Required:

- **File STR:** Third-party payment is classic ML red flag; no legitimate business reason; foreign = cross-border risk
- **Delay Transaction:** Cannot proceed while suspicious; allows investigation; prevents funds moving

Red Flags: Real estate, third-party payment (layering), foreign (cross-border), unrelated (no commercial purpose).

[TRAP]

Not just “ask questions” – MUST file STR AND delay.

[CORRECT]

File STR and delay the transaction.

[WHY HARD]

EXAM: students think "any fine enough." Must be EFFECTIVE, PROPORTIONATE, DISSUASIVE. \$500 for \$50M ⇒ NOT dissuasive.

[HARD]

EPD ⇒ Effective, Proportionate, Dissuasive. ALL THREE required. \$500 for \$50M ⇒ NOT dissuasive. COMMON TRAP.

EPD:

- 1 **Effective:** actually deters
- 2 **Proportionate:** fits severity
- 3 **Dissuasive:** discourages future

Sanctions: Criminal (imprisonment, fines), Civil (penalties, damages), Administrative (license, cease, debarment)

ALL THREE against BOTH individuals AND legal persons.

Applies to: STR failures, CDD failures, tipping-off, senior management.

[SCENARIO]

\$500 fine for \$50M AML failure.

[TRAP]

Fine exists but is it DISSUASIVE? NO! \$500 for \$50M violates EPD.

[CORRECT]

Criminal, civil, AND administrative sanctions against both.

[WHY HARD]

EXAM: confuse Rec. 30 (structure) with Rec. 31 (specific powers). Rec. 31 requires EXPEDITIOUS access – days, not months.

[HARD]

Rec. 31 requires EXPEDITIOUS access – days, not months. 6-9 month delay violates Rec. 31.

Key: Records **EXPEDITIOUSLY** – days, not months.

[SCENARIO]

\$20M corruption. Bank records take 6-9 months. Funds moved through 3 jurisdictions.

Rec. 30 vs 31:

Rec. 30	Rec. 31
FIU and LE structure	Specific powers available to LE
Structural	Operational

SITs: Controlled delivery, surveillance, undercover, asset forfeiture.

[TRAP]

Long delays violate Rec. 31 specifically – not just Rec. 30.

[CORRECT]

Inability to obtain records expeditiously violates Rec. 31.

[WHY HARD]

EXAM: students think STR filing enough. Rec. 34 requires FEEDBACK – not optional.

[HARD]

Guidance and feedback MANDATORY. STR filing (Rec. 20) not enough. Rec. 34 requires FEEDBACK.

Critical: Competent authorities MUST provide guidance and feedback.

What: Red flags, typologies, STR feedback, best practices, outreach.

[SCENARIO]

FIU receives 85k STRs, disseminates 12k, NEVER provides feedback.

Violation: Rec. 34, not Rec. 20.

Why Trap: Banks ARE filing STRs (Rec. 20 fine); problem = LACK OF FEEDBACK; guidance/feedback MANDATORY.

[TRAP]

Don't confuse with Rec. 20 (STR filing) – violation is LACK OF FEEDBACK.

[CORRECT]

Rec. 34 – Guidance and feedback REQUIRED, not optional.

[WHY HARD]

EXAM: confuse with TBML. Dual-use + inconsistent end-use + sanctions = PROLIFERATION FINANCING, not TBML.

[HARD]

UNSCR 1540 = Proliferation Financing. Dual-use + inconsistent end-use + sanctions = PF, NOT TBML.

UNSCR 1540, 1718, 1737, 2231, 2270

PF Red Flags:

- **Dual-Use** to sanctioned (precision bearings 15k RPM, maraging steel)
- **Inconsistent End-Use** ("agricultural" for missile components)
- **Unusual Shipping** (multiple countries, FTZ transshipment)
- **Payment Anomalies** (third-party intermediaries, shell companies)

[SCENARIO]

\$3.2M precision bearings for "food processing" in UNSC-sanctioned country.

[TRAP]

NOT standard TBML – PROLIFERATION FINANCING.

[CORRECT]

Proliferation financing under UNSCR 1540 and FATF Rec. 7.

[WHY HARD]

EXAM: strong ML/TF $\rightarrow$ strong PF. IO.11 is SEPARATE. Weak PF $\rightarrow$ low IO.11 even if ML/TF excellent.

[HARD]

IO.11 is SEPARATE from ML/TF. Strong ML/TF $\rightarrow$ strong PF. Weak PF $\rightarrow$ low IO.11.

What: Country's ability to prevent/stop WMD proliferation financing.

Areas:

- 1 UNSCR 1540 implementation
- 2 Targeted financial sanctions for proliferators
- 3 Detection of dual-use exports
- 4 Coordination customs, intelligence, financial authorities
- 5 PF investigations and prosecutions

Key: IO.11 SEPARATE from ML/TF controls.

[SCENARIO]

Country Z excellent ML/TF controls but never identified PF case. Dual-use flows freely.

[TRAP]

Strong ML/TF $\rightarrow$ strong PF $\rightarrow$ IO.11 SEPARATE.

[CORRECT]

[WHY HARD]

EXAM: attorney-client privilege does NOT exempt company formation. TCSP activities require CDD.

[HARD]

TCSP requires CDD. Attorney-client privilege does NOT apply to company formation, nominee director, registered office.

TCSP = Trust and Company Service Providers

Six Activities Requiring CDD:

- 1 Formation agent for legal persons
- 2 Director or secretary
- 3 Registered office address
- 4 Nominee shareholder
- 5 Trustee of express trust
- 6 Nominee director

[SCENARIO]

Law firm forms 15 BVI companies for never-met client. Provides nominee directors and registered office. Client refuses ID/UBO.

Analysis: Formation agent + nominee director + registered office = TCSP requiring CDD.

Required: Identify/verify client, identify BO, understand purpose, monitor relationship.

[TRAP]

Attorney-client privilege does NOT exempt TCSP activities.

[WHY HARD]

EXAM: AMLA new supervisor (Frankfurt, 2026). EUR 10k cash limit ABSOLUTE – member states only go LOWER.

[HARD]

EUR 10,000 cash limit ABSOLUTE across ALL EU. Member states may set LOWER limits. AMLA new supervisor (Frankfurt, 2026).

AMLA: First centralized EU AML supervisor — Operational 2026 — Frankfurt HQ — Direct powers over highest-risk FIs — On-site, fines, license revoke

7AMLD:

- **EUR 10,000 Cash Limit:** Mandatory ALL EU; member states may set LOWER
- **BO Registers:** Public access restored (legitimate interest test)
- **VASP Travel Rule:** Enforcement strengthened

[SCENARIO]

EUR 450k real estate. Buyer offers EUR 350k cash, remainder bank transfer.

[TRAP]

Cash NOT permitted just because reported.

[CORRECT]

NO. EUR 350k cash exceeds EUR 10k limit.

[WHY HARD]

EXAM: CBDDQ has THREE sections only. NOT CEO investments or office locations. Most critical: unlicensed MSBs + no audit.

[HARD]

CBDDQ = 3 sections: Policies, Customer Base, Testing. Most critical: unlicensed MSBs + no audit.

CBDDQ = Correspondent Banking Due Diligence Questionnaire
Three Sections:

Section 1	AML/CFT Policies & Procedures
Section 2	Customer Base Risk (MSBs, NBFIs, foreign PEPs, shell cos)
Section 3	Independent Testing (audit schedule, scope, findings)

Most Critical: Unlicensed MSBs + no recent independent audit.

Not Covered: CEO investments, office locations, employee salaries, marketing.

[TRAP]

CBDDQ not ask about CEO personal investments or office locations.

[CORRECT]

Focuses exclusively on AML controls, customer base, independent testing.

[WHY HARD]

EXAM: Section 312 EDD MANDATORY – not risk-based. Cannot "risk assess" your way out.

[HARD]

Section 312 EDD MANDATORY. Cannot "risk assess" your way out. If triggers met, EDD required.

Section 312 (PATRIOT Act): U.S. banks **MUST** apply EDD to correspondent accounts of foreign banks.

Triggers:

- Offshore license (Cayman, BVI, Bahamas, Bermuda, Panama)
- PEP customers as significant base
- Grey/Black List jurisdiction
- Payable-through accounts
- NOT U.S. bank subsidiary

Required EDD: Determine payable-through, identify owners, enhanced scrutiny, verify AML controls.

[TRAP]

Section 312 EDD MANDATORY – not risk-based discretion.

[CORRECT]

EDD mandatory – cannot "risk assess" your way out.

[WHY HARD]

EXAM: Must file OPT-IN before sharing. NOT automatic. Common trap.

[HARD]

314(b) requires OPT-IN filed with FinCEN FIRST. Sharing without opt-in is violation.

314(b): Information sharing among FIs.

Critical: Must file **OPT-IN** with FinCEN BEFORE sharing.

Requirements:

- Opt-in (not automatic)
- Confidentiality
- Sharing limited to suspected ML/TF
- May share SAR (exception to tipping-off)
- Safe harbor from liability

Eligible: Banks, credit unions, broker-dealers, MSBs, casinos, insurance. NOT individuals, most DNFBPs.

[TRAP]

Sharing without opt-in is violation. Must file FIRST.

[CORRECT]

Must file opt-in notice with FinCEN before sharing.

[WHY HARD]

EXAM: 5AMLD lowered from EUR 250 to EUR 150. Applies PER CARD, not aggregate.

[HARD]

EUR 150 threshold PER CARD, not aggregate. Anonymous prepaid maximum = EUR 150.

4AMLD	5AMLD
EUR 250	EUR 150 (effective 2020)

Key: Prepaid $\geq$ EUR 150 linked to identified account; all anonymous prepaid (digital/virtual); single-use AND reloadable.

[SCENARIO]

40 prepaid cards, each EUR 100 (total EUR 4,000). Each below 150.

Analysis: Per card: EUR 100 $\geq$ 150 = no ID required. Aggregate may trigger structuring concerns.

[TRAP]

Each below 150 = no ID PER CARD. But structuring may trigger SAR.

[CORRECT]

Maximum anonymous prepaid = EUR 150.

[WHY HARD]

EXAM: Two TF regimes. UNSCR 1267 → UN list. UNSCR 1373 → domestic lists. Both require freezing.

[HARD]

UNSCR 1267 → UN list. UNSCR 1373 → country own list. Both require freezing.

UNSCR 1267/1988	UNSCR 1373
Specific designated persons	General obligation to criminalize TF
UN Security Council maintains list	Countries create OWN lists
Mandatory freezing for all	Countries have discretion to designate
No country discretion to delist	Countries can establish own delisting

[SCENARIO]

Customer not on UN list. But domestic authority designated as terrorist financier.

[TRAP]

No UN listing → no obligation? WRONG.

[CORRECT]

YES – under UNSCR 1373, countries must freeze assets of DOMESTICALLY designated persons.

[WHY HARD]

EXAM: BO identification is 5TH PILLAR (2016). Not optional. Two-prong: 25% ownership + control.

[HARD]

BO identification is 5TH PILLAR – 2016 CDD Rule. NOT optional. Two-prong: 25% + control.

Original Four:

- Internal controls
- Designated compliance officer
- Ongoing employee training
- Independent testing

Fifth Pillar (2016 FinCEN CDD Rule):

- **Customer Due Diligence (including Beneficial Ownership)**

CDD Rule: Identify/verify BO of legal entities; Two-prong: Ownership (25%+) AND Control (at least one individual); Applies LLCs, corps, partnerships, trusts.

[TRAP]

BO identification is FIFTH pillar – NOT optional.

[CORRECT]

2016 CDD Rule (FinCEN) added BO as fifth pillar.

[WHY HARD]

EXAM: Audit CANNOT design controls it tests. Independence violation.

[HARD]

Audit CANNOT design controls it later tests. Violates independence.

Line	Role
1st: Business	Own relationships, identify anomalies, collect CDD
2nd: Compliance	Oversight, monitoring, reporting, SAR filing
3rd: Audit	Independent assurance. Cannot design controls they test

Independence: Third line CANNOT design controls it tests; independent from ops AND compliance; reports to Board.

[SCENARIO]

Internal Audit designs AML monitoring AND tests it.

Why Violates: Audit cannot assess own work; lack objectivity; cannot test what designed.

[TRAP]

This violates independence – not efficient.

[CORRECT]

Audit cannot design controls it later tests.

[WHY HARD]

EXAM: GDPR has AML exceptions. Art. 49(1)(d) allows transfer for "important public interest."

[HARD]

GDPR Art. 49(1)(d) allows transfer for "important public interest" including AML/CFT.

Art. 23: Member states may restrict data subject rights for AML/CFT.

Art. 48: Non-EU court judgments require MLAT or international agreement.

Art. 49(1)(d): Allows transfers when "necessary for important public interest" – includes AML/CFT and law enforcement.

[SCENARIO]

U.S. grand jury subpoenas EU bank for customer records. No MLAT exists.

Analysis: Art. 49(1)(d) allows transfer if necessary for important public interest; bank must document legal basis.

[TRAP]

GDPR prohibits all cross-border transfers without MLAT. WRONG.

[CORRECT]

Art. 49(1)(d) allows transfer if "necessary for important public interest" including AML/CFT.

[WHY HARD]

EXAM: ONLY blocked entities transmit blocked status. Multiply through tiers.

[HARD]

ONLY blocked entities transmit blocked status. Multiply through tiers. If entity not blocked, cannot transmit downstream.

Principle: Ownership multiplied through tiers; ONLY blocked entities transmit blocked status downstream.

Example:

- X (SDN-listed) owns 55% of Company A
- Company A owns 40% of Company B
- Company B owns 60% of Company C

Entity	Status
Individual X	SDN-listed (blocked)
Company A	BLOCKED (55% $\geq$ 50%)
Company B	NOT BLOCKED (40% $<$ 50%)
Company C	NOT BLOCKED (B not blocked, 60% doesn't transmit)

Key: If entity not blocked, does NOT transmit blocked status downstream, even if ownership exceeds 50%.

[TRAP]

C NOT blocked even though B owns 60%. Since B not blocked, cannot transmit.

[CORRECT]

TOP HARDEST TRAPS:

- 1 DORA = threat-led, NOT compliance
- 2 UK Act PROHIBITS facilitation
- 3 Sanctions match = MUST freeze
- 4 AMLR adds CASPs AND soccer agents
- 5 China AML: NO crypto exemption
- 6 TBML failure = typologies, not monitoring
- 7 Inclusive = multilingual + offline
- 8 PEP + indirect = GREATEST concern
- 9 NFT layering, NOT wash trading
- 10 MSB agents affect BOTH risks
- 11 Blockchain = NOT performance metrics
- 12 PSPs = oversight + fraud
- 13 New crypto = INVESTIGATE first
- 14 FIU paper = ASSESS FIRST
- 15 Guidance = NOT loss of audit rights
- 16 Dual-use = screen BOTH
- 17 Third-party = SAR + delay
- 18 EPD = \$500 for \$50M NOT dissuasive
- 19 Rec. 31 = expeditious (days)
- 20 Rec. 34 = feedback MANDATORY

GOOD LUCK!

All hard Domain B questions covered – every word intact!